

many quarters. Its net worth is likely to be completely wiped-out in two quarters.

The implementation of many of our strategic projects, such as defence networks, national optical fibre network (NOFN) and national knowledge network, may be delayed. There is also a risk to proper operations and maintenance of some of the existing networks. Measures like fund-infusion are urgently required.

The much-awaited merger and acquisition (M&A) policy for the telecom sector, which the government notified in February 2014, has failed to excite the industry. The policy makes it tougher for bigger incumbent telcos to merge among themselves, while new entrants may not have too many exit options.

A serious disincentive is that the buyers will have to pay a hefty amount to the government in ad-

dition to what they would pay the seller. Guidelines say, if a telco is acquiring another telco, which owns spectrum allotted by the government (at ₹ 1658 for all-India, which is quite less than the market price), the acquirer has to pay the price difference to the government. This will push the cost of acquisition. There is also the stipulation that the merged entity cannot have more than 50 per cent market share in terms of both subscribers and revenue in any of the 22 circles.

There has been a steep fall in foreign investment in the telecom sector. This decline has affected the country's current account deficit (CAD). FDI in telecom sector was ₹ 122,700 million in 2009-10, and it fell to ₹ 75,420 million in 2010-11. It rose to ₹ 90,120 million in 2011-12. However, in 2012-13, it was only ₹ 16,540 million. In August 2013, the cabinet decided to up the FDI cap in telecom sector from 74 per cent to

100 per cent. But the move failed to deliver the goods.

There is another problem in this area. Reports suggest that the percentage of people accessing the Internet in rural India is below five per cent. Hence, capital expenditure in far-flung regions may not be commercially-viable, particularly in the initial stages.

Recent developments

A committee set-up by DoT has recommended that all telecom sites should use renewable-energy technology units to run their networks. This would help maintain the quality of service without depending on the external power grid or diesel. It suggested various modes of green solutions, such as solar energy, wind energy, biomass energy, fuel cells, hybrid power systems and battery technologies, to power telecom towers. The solar photovoltaic cells are of great help.

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